

Avoid Serious Mistakes

Returning to the introductory quote for this chapter, John Bogle said investing is about doing a few things right and avoiding serious mistakes. Almost all serious mistakes investors make are a result of bad behavior. It's important to learn history, so you don't repeat those mistakes. The best way to avoid behavioral mistakes is to develop systems, remove yourself and your emotions, and allow the process to do the work for you. Part of the process of being a passive investor is acknowledging that the road is bumpy and you will be subject to some luck, accepting those facts and then proceeding anyway.

The best way to accomplish this is to focus on things you can control, particularly earning more and spending less to develop a higher savings rate. You will then add as much of your savings as often as possible to your investments. When the market goes up, your invested money will grow. When the market dips, new money you invest will go toward buying more shares. No matter what the market is doing, you'll be progressing toward FI.

Most investors fear market dips. It's painful to work hard for your money, save and invest it, then watch it drop in value. In reality,